

CHAPTER 27

Choice of Business Entity and Sole Proprietorships

Page 506



THINKING STRATEGICALLY

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As you study this chapter you'll learn of the potential risks associated with a sole proprietorship. In the *Thinking Strategically* feature at the end of this chapter, we examine how use of certain types of insurance policies are used to strategically reduce risk.

Learning Objectives

After studying this chapter, students who have mastered the material will be able to

-  **LO 27-1** Articulate the factors that business owners should consider when selecting a business entity.
-  **LO 27-2** Identify the advantages and drawbacks to the sole proprietor form of entity.
-  **LO 27-3** List the choices available to capitalize a sole proprietorship.
-  **LO 27-4** Explain how proprietorships are managed and taxed.
-  **LO 27-5** Describe the impact of terminating a sole proprietorship.
-  **LO 27-6** Recognize the role of franchises in business.